

The bear markets that mattered the least felt like they mattered the most, and vice versa.

Allow me to unpack this.

Since I began on a trading desk in the mid-1990s, I have lived through multiple cyclical (short-term) and secular (long-term) bear markets:

1990: Recession: Markets fell 20%.

1998: Russian ruble: Markets fell 19%.

2000–03: Dotcom implosion: 81% Nasdaq crash.

2007–09: GFC: S&P 500 falls 57% as credit markets froze.

2000–13: Secular bear market: 13 years between all-time highs (March 2000 to March 2013).

2018: 19.8% pullback as the economy slowed, FOMC hiked.

2020: Pandemic crash: 34%, fastest fall ever.

2022: Stocks & bonds both down >10%, first time since 1981.

All of these meet that silly definition of a bear of a ~20% move off of the peak.

I graduated from law school in 1989 into the oncoming recession (data suggests this negatively impacts your lifetime earnings). I had zero dollars in the market and was deep in student loan debt. The first bear I experienced was utterly meaningless to me portfolio-wise, but felt bad economically. By the mid-1990s, I switched careers from law to finance. My economic future was uncertain, but I felt confident I could make a go of it. My portfolio was tiny; I had no 401k, and my wife's 403(b), with less than a decade's worth of contributions, was barely five figures.

1997 was a little scary, as was 1998. The 2000 crash was the worst of all of these: The Nasdaq plummeted >80% from peak to trough.

From a purely economic perspective, these crashes were meaningless to me. I had almost no capital at stake; I had lots of decades of savings